

End-to-End Scenario Questions

Apply multiple domains together by diagnosing operational problems, checking evidence, resolving root causes and explaining the control or escalation path.

1. A trade is matched but fails on settlement date. What do you do?

ANSWER

Check settlement status, SSI, stock/cash availability, custodian messages, market cut-offs and counterparty status. Correct the root cause, resubmit if allowed, monitor through completion and document/escalate based on ageing.

EXAMPLE

If the SSI is outdated, obtain the approved instruction, amend the settlement message and follow the fail until settled.

2. Internal position is 10,000 shares but custodian shows 9,500. How do you investigate?

ANSWER

Start from the last reconciled date, compare trades, transfers and corporate actions, identify the 500-share driver, check settlement status and postings, then correct the true error or record the timing item.

EXAMPLE

A 500-share purchase settled externally but was not posted internally.

3. A customer suddenly sends large transfers inconsistent with profile. What do you do?

ANSWER

Review KYC, expected activity, transaction history, counterparties, purpose, supporting documents and risk indicators. Refresh KYC if needed and escalate if unexplained concerns remain.

EXAMPLE

A small domestic business starts sending large payments to unrelated overseas entities without invoices.

4. A merchant onboarding file has a name mismatch between company document and bank proof. What do you do?

ANSWER

Do not approve blindly. Confirm whether it is a typo, trade name or different legal entity; request corrected/valid evidence and ensure the settlement account belongs to the approved merchant entity.

EXAMPLE

Company certificate says ABC Trading LLC but bank proof says ABC Services LLC; clarification is required before activation.

5. A sanctions alert matches on name but DOB differs. What do you do?

ANSWER

Review all available identifiers such as full name, DOB, nationality, address, IDs and aliases. Document why it is or is not the listed party and escalate according to sanctions policy if uncertainty remains.

EXAMPLE

Same name but different DOB and nationality may support false-positive disposition if policy criteria are met.

6. A collateral call differs by 1 million between counterparties. How do you investigate?

ANSWER

Reconcile trade population, valuations, market data, FX, legal terms, thresholds and collateral balances. Rank differences by value to isolate the main driver.

EXAMPLE

One side omitted a recently novated swap worth 0.9 million of the difference.

● Trigger



● Check Evidence



● Resolve Root Cause



● Control / Escalate

7. A cash dividend entitlement differs from custodian payment. What do you check?

ANSWER

Verify eligible position, ex/record/payment dates, rate, tax withholding, FX, market fees and custodian statement. Determine gross versus net basis.

EXAMPLE

Internal expected amount is gross while custodian payment is net of withholding tax.

8. A Nostro account has an unidentified credit. What do you do?

ANSWER

Check value date, amount, reference, counterparty, payment messages and related transactions. Search expected receipts, contact relevant teams/correspondent if needed and keep the item aged until identified.

EXAMPLE

The credit is eventually matched to a client payment booked with an incomplete reference.

9. A KYC document expires tomorrow for a high-risk customer. What do you do?

ANSWER

Follow policy for renewal and restrictions. Request updated documentation promptly, update the case, escalate if the relationship cannot legally/policy-wise continue with expired evidence and avoid unauthorized overrides.

EXAMPLE

A high-risk corporate trade license expires; the account may be restricted until valid renewal is obtained.

10. A business stakeholder asks you to close an AML alert without evidence. What do you do?

ANSWER

Maintain independence, explain required evidence and policy, document the request if appropriate and escalate through governance if pressure continues.

EXAMPLE

The alert remains open until the unusual transaction is reasonably explained or escalated.

11. An IPO processing total does not match the bank final certificate. What do you do?

ANSWER

Reconcile exchange/bid data, internal records and bank-certified totals; isolate missing/duplicate/rejected entries; validate cut-off and file versions; resolve before final allotment/settlement processing.

EXAMPLE

A duplicate file load inflated internal totals and is removed after validation.

12. A payment-gateway success rate suddenly drops. How would you use analytics operationally?

ANSWER

Slice failures by PSP, bank, merchant, payment method, time and failure reason; compare with prior trend; identify concentration; coordinate with the responsible partner; track recovery.

EXAMPLE

Most failures occur for one bank after a specific time, indicating a partner-side issue rather than merchant behavior.